

Indian Mutual Fund Categories — Reference Tables

Data as of 27 August 2026, sourced from INDmoney category rankings. All returns are annualised (CAGR) for 3Y and 5Y. All expense ratios shown are for **direct plans** — regular plans (bought via a distributor) typically cost 0.5–1.0% more per year. This is a factual reference, not investment advice.

Category overview — risk, horizon and what each one is

Category	SEBI definition / mandate	Risk	Typical horizon
Large Cap	≥80% in the top 100 companies by market cap	Moderately High	5+ years
Mid Cap	≥65% in companies ranked 101–250 by market cap	High	7+ years
Small Cap	≥65% in companies ranked 251 and beyond	Very High	7–10+ years
Flexi Cap	≥65% equity, no market-cap restriction — manager decides the mix	High	5+ years
Multi Cap	≥25% each in large, mid AND small cap (mandated)	High	5–7+ years
Large & Mid Cap	≥35% large cap and ≥35% mid cap	High	5–7+ years
ELSS (Tax Saver)	≥80% equity, 3-year lock-in, 80C deduction (old regime only)	High	3+ years (locked)
Index (Nifty 50)	Passively tracks the Nifty 50 — no fund manager decisions	Moderately High	5+ years
Aggressive Hybrid	65–80% equity, 20–35% debt	Moderately High	3–5+ years
Debt (various)	Invests in bonds, G-Secs, money market instruments	Low to Moderate	1 day – 3 years

Reading the risk column: "Very High" is the official SEBI riskometer rating, not a judgement. Every equity fund can lose money; the label describes how much it typically swings.

Top funds by category

Funds below are the top-ranked entries in each category on INDmoney as of 27 Aug 2026. Ranking methodology is theirs, not a recommendation. Judge on the 5Y column and expense ratio rather than the 1Y column — one year of returns mostly reflects the market cycle.

Large Cap

≥80% in India's top 100 companies by market capitalisation. Category: 35 funds, ₹4.27 lakh Cr AUM.

Fund (Direct Plan)	1Y	3Y CAGR	5Y CAGR	Expense	AUM
Nippon India Large Cap	−0.15%	12.94%	14.84%	0.58%	₹54,225 Cr
Invesco India Large Cap	8.02%	16.03%	13.18%	0.67%	₹11,746 Cr
ICICI Prudential Large Cap	−0.57%	13.01%	12.80%	1.02%	₹80,962 Cr
Bandhan Large Cap	4.70%	14.70%	12.09%	0.76%	₹2,145 Cr
Baroda BNP Paribas Large Cap	4.49%	13.72%	12.24%	0.67%	₹2,632 Cr

Note the flat-to-negative 1Y returns across the whole category — that is the market cycle, not fund quality.

Mid Cap

≥65% in companies ranked 101–250 by market cap. Category: 35 funds, ₹5.24 lakh Cr AUM, avg 1Y 12%.

Fund (Direct Plan)	1Y	3Y CAGR	5Y CAGR	Expense	AUM
Invesco India Mid Cap	13.15%	26.17%	21.81%	0.48%	₹14,721 Cr
HDFC Mid Cap	11.91%	19.63%	20.97%	0.75%	₹1,05,143 Cr
Edelweiss Mid Cap	12.14%	23.38%	20.57%	0.71%	₹18,704 Cr
Mahindra Manulife Mid Cap	16.39%	21.43%	20.15%	0.76%	₹5,186 Cr
Nippon India Growth Mid Cap	12.22%	21.13%	20.11%	0.80%	₹50,751 Cr

Small Cap

≥65% in companies ranked 251 and beyond. Category: 36 funds, ₹4.41 lakh Cr AUM. Highest volatility of any equity category.

Fund (Direct Plan)	1Y	3Y CAGR	5Y CAGR	Expense	AUM
Bandhan Small Cap	14.79%	26.56%	20.75%	0.33%	₹31,103 Cr
Invesco India Small Cap	18.82%	25.08%	21.59%	0.41%	₹14,475 Cr
Bank of India Small Cap	29.95%	23.76%	21.63%	0.44%	₹2,819 Cr
ITI Small Cap	24.57%	27.15%	20.76%	0.85%	₹3,454 Cr
Nippon India Small Cap	12.86%	17.32%	20.70%	0.70%	₹78,957 Cr

Very large AUM in small-cap funds can hurt agility in illiquid stocks — note the largest fund here has the weakest 3Y return.

Flexi Cap

≥65% equity with no market-cap restriction — the manager shifts across large/mid/small. Category: 48 funds, ₹6.02 lakh Cr AUM.

Fund (Direct Plan)	1Y	3Y CAGR	5Y CAGR	Expense	AUM
Bank of India Flexi Cap	16.96%	22.34%	18.19%	0.49%	₹2,786 Cr
HDFC Flexi Cap	5.65%	17.78%	19.04%	0.74%	₹1,10,736 Cr
ICICI Prudential Flexicap	12.66%	19.23%	16.79%	0.89%	₹24,100 Cr
Aditya Birla SL Flexi Cap	12.68%	17.29%	13.47%	0.71%	₹28,112 Cr
Edelweiss Flexi Cap	6.61%	16.67%	14.56%	0.76%	₹3,589 Cr

Often used as a single-fund core holding, since one flexi cap fund already spans all market caps.

Multi Cap

Mandated ≥25% each in large, mid AND small cap — less manager discretion than flexi cap. Category: 33 funds, ₹2.49 lakh Cr AUM.

Fund (Direct Plan)	1Y	3Y CAGR	5Y CAGR	Expense	AUM
Mahindra Manulife Multi Cap	17.61%	19.42%	18.08%	0.87%	₹7,184 Cr
Nippon India Multi Cap	2.62%	14.92%	18.60%	0.84%	₹55,587 Cr
ICICI Prudential Multicap	12.81%	18.56%	16.89%	1.03%	₹18,769 Cr
ITI Multi Cap	15.77%	19.26%	16.12%	0.84%	₹1,468 Cr
Baroda BNP Paribas Multi Cap	7.29%	16.68%	15.18%	0.75%	₹3,432 Cr

Key difference from flexi cap: the 25% small-cap floor is compulsory, so multi cap carries more small-cap risk by design.

ELSS — Tax Saving

≥80% equity, mandatory 3-year lock-in. Qualifies for 80C deduction up to ₹1.5 lakh — old tax regime only. Category: 40 funds, ₹2.45 lakh Cr AUM.

Fund (Direct Plan)	1Y	3Y CAGR	5Y CAGR	Expense	AUM
Tata ELSS Fund	9.92%	14.73%	14.63%	0.90%	₹4,664 Cr
Baroda BNP Paribas ELSS	7.91%	17.67%	13.94%	0.92%	₹917 Cr
Edelweiss ELSS Tax Saver	8.92%	16.01%	14.08%	0.90%	₹455 Cr
SBI ELSS Tax Saver	−0.10%	16.37%	16.81%	1.23%	₹32,300 Cr
HDFC ELSS TaxSaver	−2.04%	15.26%	16.26%	1.18%	₹16,095 Cr

Only worth it if you are on the OLD tax regime. Under the new regime, 80C deductions do not apply and ELSS offers no tax edge over a plain equity fund — while still locking your money for 3 years.

Index — Nifty 50 (Passive)

Tracks the Nifty 50 index. No stock selection, no manager risk — returns mirror the index minus costs. Category AUM ₹1.06 lakh Cr.

Fund (Direct Plan)	1Y	3Y CAGR	5Y CAGR	Expense	AUM
Navi Nifty 50 Index	−1.58%	8.79%	8.70%	0.06%	₹4,148 Cr
Nippon India Index Nifty 50	−1.56%	8.79%	8.65%	0.15%	₹3,908 Cr
UTI Nifty 50 Index	−1.64%	8.75%	8.64%	0.25%	₹29,603 Cr

Fund (Direct Plan)	1Y	3Y CAGR	5Y CAGR	Expense	AUM
SBI Nifty Index	−1.72%	8.71%	8.61%	0.25%	₹14,114 Cr
ICICI Prudential Nifty 50 Index	−1.68%	8.70%	8.60%	0.25%	₹17,353 Cr

All index funds tracking the same index deliver near-identical returns by design — so expense ratio and tracking error are effectively the ONLY things to compare. Navi's 0.06% is the cheapest here.

Debt Funds — top performers across sub-categories

Invest in bonds, government securities and money-market instruments. Category asset class total: ₹20.51 lakh Cr.

Fund (Direct Plan)	1Y	3Y CAGR	5Y CAGR	Expense	AUM
Axis Liquid Fund	6.53%	—	—	0.12%	₹56,438 Cr
Kotak Money Market Fund	6.49%	—	—	0.16%	₹30,297 Cr
ICICI Prudential Corporate Bond	6.33%	—	—	0.36%	₹30,202 Cr
HDFC Ultra Short to Short Term	6.31%	—	—	0.46%	₹18,420 Cr

Dashes indicate figures not available in the source. Debt funds are for capital preservation and short-horizon goals, not growth.

Debt fund sub-categories, shortest to longest horizon

Sub-category	What it holds	Suitable horizon
Overnight	Securities maturing in 1 day — near-zero interest rate risk	1 day – 1 week
Liquid	Instruments maturing within 91 days	1 week – 3 months
Ultra Short Duration	Portfolio duration 3–6 months	3–6 months
Money Market	Money market instruments up to 1 year	6 months – 1 year
Low Duration	Portfolio duration 6–12 months	6 months – 1 year
Short Duration	Portfolio duration 1–3 years	1–3 years
Corporate Bond	≥80% in highest-rated (AA+ and above) corporate bonds	2–3 years
Banking & PSU	≥80% in bonds of banks, PSUs and public financial institutions	2–3 years
Gilt	≥80% in government securities — no credit risk, high rate sensitivity	3+ years
Dynamic Bond	Duration actively varied by the manager based on rate outlook	3+ years
Credit Risk	≥65% in below-AA rated corporate bonds — higher yield, real default risk	3+ years

How to use these tables

Compare within a category, never across

A small cap fund's 21% 5-year return and an index fund's 8.6% are not competing numbers — they carry entirely different risk. Pick the category that matches your horizon and risk tolerance FIRST, then compare funds inside it.

Weight the 5Y column, discount the 1Y

One-year returns mostly reflect where the market cycle happens to be. Note that large cap and index funds show negative 1Y returns here while small caps show 15–30% — that is a cycle, and it reverses. The 3Y and 5Y CAGR columns are the more honest signal, and even those reflect an unusually strong run for Indian mid and small caps. Do not extrapolate 20%+ forward.

Expense ratio compounds against you, every year

A 1.02% fund versus a 0.58% fund is a 0.44%/year drag, forever, regardless of performance. Over long periods this is one of the very few variables you can actually control. Always buy **direct plans** — regular plans bought through a distributor typically cost 0.5–1.0% more per year for an identical portfolio.

AUM matters differently by category

For large cap and index funds, size is largely irrelevant. For small cap funds it is a real constraint: a very large fund struggles to build or exit positions in illiquid small companies without moving the price. This is visible in the table above.

Match category to horizon

Money needed within 3 years generally does not belong in mid or small cap funds — the swings are too large to reliably recover from in that window. Debt, hybrid or large cap funds suit shorter horizons. Small cap allocations typically want 7+ years and are usually held as a portion of a portfolio rather than the whole of it.

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